



Governance Is Not the Same as Transformation

Several years ago, I was invited to advise one of the Gulf region's oldest family-owned conglomerates during the implementation of a major strategic transformation. The assignment appeared straightforward. The organisation had recently approved a new corporate strategy, redesigned its governance architecture, established Strategic Business Unit Boards, appointed a Transformation Group CEO, and introduced revised reporting structures, Delegations of Authority, and management control systems to support implementation. From a governance perspective, the transformation had been carefully conceived and meticulously planned.

Yet as I worked through the documentation and met with family members, directors and senior executives, I became increasingly convinced that the greatest risks facing the transformation had little to do with the governance framework itself. The organisational chart was clear. Decision rights had been allocated. Accountability mechanisms were in place. What concerned me instead was the quality of the interpretations that would emerge around those structures. In the report I eventually



submitted, I described this as "**the white space between reporting lines**"—the largely invisible space where governance is translated into executive judgement.

Looking back, I now see that observation as an early expression of an idea that would later become central to my research on organisational transformation. We often assume that governance structures determine organisational behaviour. In reality, they determine only the formal distribution of authority. Whether a strategy ultimately succeeds depends on how those structures are interpreted by the people responsible for bringing them to life.

The Family Business Board as an Interpretive Institution

Family business boards differ fundamentally from the boards of publicly listed corporations. Rather than bringing together directors who occupy broadly similar institutional roles, they bring together individuals whose identities overlap in complex and sometimes competing ways. Around the same table sit owners, family members, professional executives, independent directors and members of the next generation. Each carries different histories, loyalties, aspirations and responsibilities, and each interprets the organisation through a different lens.

This is precisely why governance in family businesses cannot be understood solely as a structural exercise. Every strategic decision carries commercial implications, but it also carries relational, historical and symbolic meaning. A discussion about succession is simultaneously a discussion about stewardship. A decision to appoint an external executive inevitably raises questions about trust and family identity. A proposal to corporatise the organisation may represent growth for some directors while symbolising the erosion of legacy for others.

Family business scholars have long argued that these organisations are best understood as interconnected systems comprising the controlling family, the business enterprise and individual family members. Their long-term effectiveness depends on managing the boundaries between these overlapping systems while balancing their distinct priorities and needs.

I would extend this argument one step further.

Family business boards are not merely responsible for managing the boundaries between organisational systems. They are responsible for managing the different **worldviews** through which those systems are understood.

Why Strategy Is First Interpreted Before It Is Implemented



One of the assumptions that underpins much of strategic management is that organisations move from decision to execution. Once the board approves a strategy, implementation becomes largely a question of communication, capability and discipline.

My experience suggests a different sequence.

Before executives decide **what** they will do, they first decide **what they believe** about what they have been asked to do.

Every strategic initiative is interpreted before it is implemented.

This insight forms the foundation of the **Worldview Levels of Activation (LOA)** framework. The framework proposes that executives evaluate strategic change through three interrelated forms of judgement that collectively determine whether genuine commitment will emerge.

The first concerns **Legitimacy**.

Executives continually evaluate whether a strategic direction is fundamentally right or wrong, just or unjust, coherent with the organisation's purpose and ultimately defensible. This goes well beyond formal authority. A board may unanimously approve a strategy, yet executives may still question whether it represents the right future for the organisation. Where legitimacy remains unresolved, compliance may occur, but genuine commitment is unlikely to follow.

The second concerns **Relational Obligation**.

In family businesses, strategic decisions are rarely experienced as purely managerial choices. They are interpreted through relationships that have often developed over generations. Executives therefore consider whether a particular course of action honours the trust placed in them, preserves dignity, strengthens belonging, protects reputation and reflects loyalty to the family and the organisation. Relational obligation is not simply about fulfilling responsibilities; it is about remaining faithful to the relationships that give those responsibilities meaning.

The third concerns **Agency**.

Executives also evaluate whether they possess the authority, influence and psychological safety necessary to exercise meaningful leadership. Agency is not simply confidence or competence. It reflects an individual's lived experience of power within the organisation. Can difficult truths be spoken? Will delegated authority be respected? Does the board genuinely empower executives to lead, or are significant decisions quietly reclaimed through informal influence? These questions



shape whether executives experience themselves as agents of transformation or merely custodians of someone else's decisions.

Together, these three evaluations explain why executives facing identical strategic circumstances often respond in remarkably different ways.

What the Bahrain Transformation Was Really Teaching Me

When I revisit the recommendations contained in that original report, I see them very differently today.

At the time, they appeared to be practical governance interventions designed to improve implementation. The recommendations included strengthening the authority of the Transformation Group CEO, creating clear role descriptions for family members, introducing executive coaching, establishing behavioural scorecards alongside traditional performance measures, and developing mechanisms to manage the boundaries between the family, the board and executive leadership.

Viewed through the Worldview LOA, however, these interventions reveal a deeper logic.

Executive coaching was not merely about leadership development; it strengthened executives' sense of agency.

Clarifying roles was not simply a governance exercise; it reinforced legitimacy by reducing ambiguity about authority and accountability.

Behavioural and cultural scorecards were not alternatives to performance management; they strengthened relational obligation by making the desired patterns of interaction visible and discussable.

Similarly, strengthening the authority of the Transformation Group CEO while creating meaningful roles for competent family members was not simply about organisational design. It sought to establish a governance environment in which legitimacy, relational commitment and executive agency could reinforce rather than undermine one another.

The report was therefore attempting to solve a problem that extended beyond governance.

It was seeking to shape how people interpreted the transformation itself.

Resistance Begins Long Before Behaviour



One of the enduring frustrations of strategic transformation is the persistence of organisational resistance. Boards frequently respond by strengthening governance, tightening controls or introducing additional reporting requirements. These interventions assume that resistance reflects inadequate execution.

The reality is often more complex.

The report recognised that family businesses typically move through predictable periods of inertia before embracing new strategic directions, as family members and executives gradually reconsider long-held assumptions about the organisation and its future.

The Worldview LOA provides an explanation for why this occurs.

People do not resist change simply because they prefer the status quo.

They resist because the existing way of understanding the organisation continues to appear legitimate, relationally appropriate and personally safe.

Behaviour changes only after interpretation changes.

Until executives begin to see the organisation differently, even the most carefully designed governance structures will struggle to produce sustained transformation.

From Governance to Worldview Stewardship

This perspective has fundamentally changed how I think about family business boards.

Their responsibility extends beyond approving strategy, monitoring performance and ensuring sound governance. They are also responsible for shaping the interpretive environment within which strategic decisions acquire meaning.

Every appointment communicates something about legitimacy.

Every interaction between family members and professional executives influences relational obligation.

Every decision about authority either strengthens or weakens executive agency.

In this sense, boards do far more than govern organisations.

They shape the worldviews through which organisations understand themselves.



Perhaps this is the real significance of the white space between reporting lines.

It is the space where governance becomes judgement, where authority becomes commitment, and where strategy either remains a document approved in the boardroom or becomes a future collectively enacted by those entrusted to lead it.

Structures create accountability.

Processes create coordination.

But it is executive worldviews that create commitment.

For family businesses navigating succession, corporatisation or strategic renewal, that may be the most important governance lesson of all.